

ESG factors in business strategy, governance and risk management

This chapter provides an overview of Nordea's ESG-related business strategy, governance and risk management. In the next chapter, these topics are covered in more detail for each of the three elements – environmental, social and governance factors.

ESG FACTORS IN BUSINESS STRATEGY: INTRODUCTION

Environmental, social and governance (ESG) factors are the characteristics potentially positively or negatively impacting the financial, environmental, social or governance performance or solvency of Nordea or its counterparties, across value chains or business environments. ESG factors as risk drivers may materialise, first of all, through the traditional (prudential) risk categories. This includes credit risk, market risk, business model risk, operational risk (including reputational risk and legal risk, the latter covering litigation and liability risk), liquidity risk, and any other material risk. The risk drivers could also materialise through any of the risk areas' sub-categories that Nordea is or might become exposed to. Secondly, they may materialise through Nordea seeking to take action on material impacts to sustainable development, for people and the natural environment, within our operations and through our business environment. For the purposes of this report, Nordea's strategic sustainability ambition and management of material ESG-related risks are cross-mapped to the respective components of Nordea's Common Risk Taxonomy, as detailed in corresponding sub-sections.

Setting and aligning sustainability objectives in Nordea's business strategy with ESG-related risk management and risk strategies are a response to the systematic identification and mapping of relevant ESG factors via their transmission channels to Nordea's business operations and model, and risk profile (Figure X). Identification relies on the concept of double materiality; one of the unique features of the new Corporate Sustainability Reporting Directive (CSRD) requirements per 2024. It indicates, on one side, the material positive or negative impacts on the planet and society, and on the other side, their potential impact to Nordea and its counterparties.

Following this, Nordea developed its climate and nature related materiality assessment (MA) to identify and assess the most relevant ESG factors (i.e. climate and environmental (C&E) risks) towards Nordea's business model. This MA process leverages on the Internal Capital and Liquidity Adequacy Assessment Processes (ICLAAP) framework, using a 4-level risk materiality banding system (refer to section 'Approach to the assessment of materiality of ESG factors') and adds components for the purposes of embedding C&E risk drivers. This enhanced 2024 MA concluded that Nordea is materially exposed to various C&E risk drivers across its prudential risk categories, mainly via counterparties but partly via our own operations. Based on the risk quantification, extra capital was reserved in 2024 to cover for additional climate-related risk within credit risk, the main risk type for Nordea. Leveraging on the MA results,

Nordea also performed the double materiality assessment (DMA) as part of the new CSRD requirements.

Nordea's overall risk strategy is to respond actively through customer engagement in driving a sustainability-based transition while capturing growth opportunities. This includes having relevant risk mitigation in place to address the C&E risk drivers as identified in the 2024 MA. In general, Nordea's sustainability efforts are structured around four key areas: financial strength, climate and environmental action, social responsibility, and governance and culture. For each of these areas, Nordea has identified relevant UN Sustainable Development Goals, as well as specific sustainability-related matters that impact Nordea or where Nordea can have significant impact through its lending activities, investments and internal operations. Nordea has adopted a long-term perspective and believes that companies with sustainable business models carry different types of risk than the 'traditional' prudential risks. Helping Nordea's customers build resilience therefore goes hand in hand with future-proofing Nordea's own business. Understanding and managing ESG risks and opportunities is essential for maintaining Nordea's financial strength and strong capital position.

The resilience of Nordea's business model is dependent on the sustainability of the counterparties' business models and having in place effective risk mitigation measures. One key objective for Nordea's sustainability steering is the alignment of on-balance sheet lending and investments with the Paris Agreement, especially through financed greenhouse gas (GHG) emissions reductions. Through ESG-related product offerings, Nordea supports sustainable practices and actively engages with customers and investees, who are among the key enablers of the sustainability strategy and targets. These offerings allow for the incorporation of sustainability into the overall funding and liquidity strategy, including sustainability-related funding activities. To further support Nordea's sustainable strategy, internal targets are set to decrease GHG emissions by 40-50% by 2030 and achieving net zero at latest by 2050 (see 2024 Annual Report, Sustainability Statement chapter E1 Climate change). Nordea has set interim targets on selected portfolios to support active net zero steering and to align Nordea's balance sheet with the business environment, external policy, and industry best practices for identified material sustainability dimensions. These are embedded in Nordea's lending and investment policies and management practices through engagement with Principles for Responsible Banking (PRB), UN Global Compact, Equator Principles, Poseidon Principles and other key

benchmarks (see Sustainability Statement chapter X E1 Climate change). For sustainability steering in Nordea's internal operations, such commitments are embedded in Nordea's policy frameworks, including for third-party procurement, travel and employee conduct. In addition to the GHG emission targets and accompanying mitigating actions, mitigation measures include, among others, implementation of specific industry credit policies (ICP), corporate transition plans and specific customer ESG assessments, and monitoring of energy performance certificates (ECP).

During 2024, Nordea approved a position on biodiversity and nature-related impacts to be incorporated into Nordea's strategy, governance and risk management towards 2025. Biodiversity aspects were also integrated in the internal 2024 business environment scanning (BES) process, reflecting the identification of these aspects in Nordea's climate and nature-related MA. The BES report supports the development of sustainable business strategies and risk management throughout Nordea's organisation. Sector guidelines have been updated in 2024 to capture biodiversity and nature-related aspects, both in terms of a general introduction across new sector guidelines and more specific expectations in sector guidelines on agriculture, aquaculture, feed and food processing sectors, and real estate. Further improvements of sector guidelines to include biodiversity aspects will be made during 2025. Building capacity in terms of understanding, methodologies and data foundation has been the key focus in 2024 to continue to support the incorporation of biodiversity into Nordea's strategies, governance, risk management, stakeholder engagements and offerings. To further support the integration of biodiversity into Nordea's business, several trainings and internal dialogues have been held during the year. On top, initial assessments of dependencies and impacts on biodiversity and ecosystem services along Nordea's value chain were conducted using the tools WWF Biodiversity Risk Filter and ENCORE. In 2025, Nordea will continue to enhance the biodiversity assessment approach, including quantification of dependency and impacts on biodiversity and ecosystem services across the value chain, focusing on Nordea's lending portfolio as a basis for more targeted actions to reduce downstream value chain impacts, and risks and to capture opportunities.

Reporting and EU Taxonomy

As of 2024, the CSRD applies to Nordea. The CSRD will replace the Non-Financial Reporting Directive (NFRD) requirements. The CSRD is an industry-wide comprehensive reporting requirement on sustainability matters. One of the key concepts of the CSRD is the double materiality assessment. Nordea included CSRD reporting in the Sustainability Statement as part of the 2024 Annual Report, applying the European Sustainability Reporting Standards (ESRS), as required by CSRD. Nordea has also performed a feasibility and benchmarking exercise based on the draft 'EBA guidelines on the management of ESG risk' in order to be prepared for the final guidelines.

In addition, in accordance with the EU Taxonomy (EU Taxonomy Regulation 2020/852 Article 8), Nordea is required to disclose its exposures related to taxonomy-eligible and aligned activities, where 'aligned exposures' are environmentally sustainable according to the regulation. The Green Asset Ratio (GAR) KPIs communicate the proportion of exposures related to taxonomy-aligned activities compared to Nordea's total covered assets. The implementation of the EU Taxonomy is described in the 2024 Annual Report, alongside the exposures to taxonomy-eligible and taxonomy-aligned activities and the related taxonomy KPIs, as well as in GAR templates 6, 7 and 8 in Part 2 of this report. The assets in scope for disclosures for 2024 are retail exposures as set out in Nordea's internal GAR methodology document, exposures to undertakings falling under NFRD including financial and non-financial undertakings, local governments financing, collateral obtained by taking possession (residential and commercial immovable properties), and off-balance sheet exposures.

Figure 1: Overall approach for the alignment of ESG-related objectives, targets and limits in Nordea's business and risk strategies



ESG FACTORS GOVERNANCE: INTRODUCTION

ESG factors in group governance

Nordea has embedded oversight of strategic steering for material ESG impacts within its Group governance model (Figure X). The Nordea Board of Directors (the Board) sets out Nordea's purpose and values on which the sustainability approach is built and their expectations for how sustainability should be strategically driven and implemented. The Board is responsible for overseeing the integration of sustainability into Nordea's strategic priorities and business plan as well as ensuring that the strategy is compatible with the transition to a sustainable economy.

The Board Operations and Sustainability Committee (BOSC) assists the Board in overseeing the sustainability impacts, including development, decision and oversight of the strategic priorities and related targets and objectives that are presented for review and input. On the recommendation of BOSC, the Board approves the strategic sustainability priorities.

The Board Risk Committee (BRIC) oversees the financial impacts of ESG factors on Nordea and reviews the Group's risk profile and key risk issues including significant development with regard to environmental, social and governance risks. The Board Audit Committee (BAC) oversees the reporting of matters related to Nordea's sustainability strategy. This predominantly refers to the quarterly and annual reports, including the quantitative regulatory disclosures and the control environment of the sustainability reporting process.

At the Group Leadership Team (GLT) level, the Group CEO is responsible for proposing the strategic sustainability priorities and deciding on the related targets and objectives. The Sustainability & Ethics Committee (SEC) oversees implementation of sustainability in the business strategy and facilitates operational ESG-related risk management. The Risk Committee (RC) has oversight of the implementation of ESG-related risk strategy and policy framework, and the Asset & Liability Committee (ALCO) monitors and decides on principles for the performance management framework and the financial planning framework. The ESG Reporting Sub-committee, a sub-committee of ALCO, supports in preparation of sustainability disclosures and oversees the methodologies; especially for financed emissions used in the risk appetite framework. Additionally, Risk Committee sub-committees opine on ESG-related topics within their mandates.

Figure 2: Overview of ESG-related governance model.

A suitability assessment of the individual board members and of the Board as a whole is completed annually and its outcome is taken into account in the annual training plan. The Board and GLT trainings for 2024 covered an introduction to facilitated emissions, Nordea's customer engagement strategies and approach to social responsibility (in particular just transition), as well as insights related to the Nordic energy transition and how Nordea works with emission removals offsetting.

Specifically concerning ESG-related risks in the credit process, these are governed according to the delegated powers to act. Approvals follow the established decision-making responsibilities and accountabilities. For customers associated with a high level of ESG-related risk, decisions are escalated to higher-level credit committees as relevant.

Group-wide implementation governance

A Group-wide ESG programme was established in 2021 with the objective to ensure efficient and consistent implementation of ESG factors in the business and risk strategies across the 1st and 2nd lines of defence (LoD) and delivering on relevant regulatory changes. The programme is overseen by an Operational Steering Committee (OSC), co-chaired by the Chief of Staff and Head of Group Credit Risk Control (GCRC), and involves all relevant business areas and Group functions, as well as relevant risk areas, Group Financial Management and Risk Control. In 2024, the key focus of the programme was the continuation of the establishment of an ESG Data Foundation, supporting data driven portfolio steering, improving ESG risk management, disclosures and management oversight.

ESG factors in organisational structure and reporting

ESG is an integrated component of existing processes for decision-making, risk management, escalation and reporting across the three LoDs. The 1st LoD is responsible and accountable for setting and implementing the strategic response and mitigation of ESG-related impacts and risks. The Chief of Staff is accountable for ensuring coordination and facilitation of this mandate. The 2nd LoD is responsible and accountable for developing the Sustainability and ESG policy framework and provides oversight to 1st LoD implementation of the business and risk strategies. The Head of GCRC is responsible for coordinating and facilitating this mandate as the policy framework owner. The 3rd LoD provides independent and objective assurance and advice related to ESG-related risks.

Within each LoD, a function and its associated head are assigned as an ESG coordinator and ambassador within their LoD and towards the other LoDs. Group Sustainability (GS) is responsible for 1st LoD coordination and GCRC is responsible for 2nd LoD coordination. Group Internal Audit (GIA) coordinates ESG assurance and advice activities based on its risk assessment in order to provide sufficient and relevant audit coverage. Coordination between risk areas is mandated for key topics, such as greenwashing, and processes, such as the aggregation of ESG-related reporting, to ensure coherent and consistent implementation of the Sustainability and ESG Policy Framework.

Nordea continues to increase competence and awareness regarding ESG factors. Nordea uses a three-layer approach throughout the Group : (1) general training to all employees in mandatory Code of Conduct (e-learning) training that embeds also ESG-related principles and two general non- mandatory e-learning. Regulatory changes are also implemented with relevant training to employees impacted by the change as needed; (2) tailored training for identified groups of employees that work directly with ESG; and (3) in-depth training for selected groups.

From a learning perspective, Group Risk has prioritised analysis of nature risk and continued enhancement of financed emissions accounting for strategic oversight. Employees in Group Compliance have had mandatory targeted ESG-themed learnings on ESG regulatory requirements and terminology and the EU Taxonomy regulation.

Aggregated and quarterly ESG-specific reporting to the Board is carried out as follows:

- ESG programme monitoring of strategic implementation progress, including progress against sustainability targets, voluntary and supervisory commitments, through a Sustainability Roadmap.
- ESG Management report includes an overview of the total Group exposure, business areas, sectors and products, especially where strategic targets and KPIs are in place. Historical and forecasted financed emissions are presented, as well as historical development of EU Taxonomy eligible and aligned assets and business volumes for sustainable finance, -funding, and -savings products. In addition, overall risk reporting to management includes ESG-related data quality indicators and monitoring of progress.
- Group Risk Report includes risk appetite monitoring on ESG cross-risk concentrations and financed emissions, to cover ESG impacts on all risks, combined and separate, from Nordea's Common Risk Taxonomy.
- Other risk reports to the Board include financed emissions developments across business areas, geographies, industries and customers, climate-related physical and nature-related risk exposure concentration monitoring, for geographies and industries respectively, and the status and coverage of relevant risk mitigation measures.
- Non-ESG specific reporting is also conducted as an embedded component of ICAAP, including capital adequacy, stress testing and scenario analysis (refer to section 'Capital & liquidity adequacy conclusion') and 2nd LoD functions report as relevant on embedment of ESG and monitoring metrics such as in the Group Compliance Report for the Board.

Remuneration

Nordea has integrated ESG goals in all Group's variable pay plans, extending it from the GLT and other senior leaders across the Nordea Group to variable pay participants through introduction of ESG-related goals to the Group Pool funding mechanism and more broadly to all employees by adding green financing, defined in accordance with Nordea's Green Financing Framework, and Sustainability Roadmap goals in the profit sharing plan. Furthermore, ESG scorecards supporting Nordea's ambitions towards 2025 have been included in the long-term incentive plan. As such ESG goals can be considered fully embedded into Nordea's remuneration framework. The ESG goals in senior leaders' remuneration aim to support Nordea in fulfilling its sustainability and climate objectives in three key areas: (1) progress in relation to Nordea's Sustainability Roadmap, (2) volume increase for green financing, and (3) gender balance improvement in senior leadership levels. These are in addition to the non-financial KPIs on employee engagement, customer satisfaction and risk, compliance and conduct priorities, as well as goals supporting Nordea's financial targets. This means that a material portion of the GLT's and senior leaders' non-financial goals for remuneration measured at Group-level are linked to ESG factors.

ESG FACTORS RISK MANAGEMENT: INTRODUCTION

Policy framework

As part of the overall policy framework, the Sustainability and ESG Policy Framework specifically addresses the integration of ESG related items into the risk management cycle. The foundation for the Sustainability and ESG Policy Framework is based on the Group Board Directive (GBD) on Sustainability and GBD on Risk, covering both aspects of double materiality CSRD.

Within the Sustainability and ESG Policy Framework, Nordea defines ESG factors as environmental, social or governance characteristics that may have a positive or negative impact in the short, medium or long term on the financial performance or solvency of Nordea or its counterparties, across value chains or business environments. The Sustainability and ESG Policy Framework provides the common definitions and sets their operationalisation through Nordea's strategic and risk management approaches. During 2024, the framework was enhanced with, for example, updates to ESG-related risk identification and materiality assessment (MA) and significant effort also took place to cascade the framework into relevant documents, including several risk area documents and strategy setting guidance. Continued development of the framework in 2025 will focus on extending the identification and management of material ESG risks and enhancing the monitoring and control framework.

Within the framework, the GBD on Sustainability sets out the principles for impact materiality embedment in the business strategy and associated governance, while, the GBD on Risk sets out the principles for financial materiality embedment in risk management and associated governance. The CEO Instruction (CEOI) on ESG Factors, is the starting point for all assessments of ESG-related materiality across the Group. In 2024, CRO Protocol on ESG-related risk and Group Accountable Executive Protocol on Sustainability Strategy were approved, detailing how ESG factors should be integrated into risk management and strategy setting frameworks respectively. These documents expand the financial risk materiality and impact materiality aspects of the DMA. Further cascading for business strategy and risk management embedment is found in the relevant subordinate documentation in 1st and 2nd LoDs. In 2024, with the guidance provided by the CRO Protocol on ESG-related risks, relevant risk areas enhanced the integration of ESG-related risks in their risk management frameworks.

Within the CEOI, a ESG Factor Taxonomy is defined, first developed in 2021 and updated on a yearly basis. Nordea's ESG Factor Taxonomy aims toward alignment with the EU Taxonomy environmental objectives, Global Reporting Initiative 300 Disclosures guidance, Sustainability Accounting Standards Board materiality guidance, European Banking Authority's guidance, ECB Guide on Climate-related and Environmental Risks, CSRD and the accompanying ESRS, and other relevant sources.

Approach to the assessment of materiality of ESG factors

Nordea has in place a Group-wide ESG Factor Taxonomy of ESG risk drivers (i.e. hazards) and a list of transmission channels. Transmission channels are first defined based on literature review. Next, the defined transmission channels are consulted with business and risk areas, to determine which transmission channels are applicable to Nordea's business model specifically. As part of the enhanced climate and nature-related MA, performed in 2024, relevant C&E risk drivers have been identified and assessed across geographies, economic sectors and portfolios using different time horizons (short, medium, long and very long-term). These C&E risk drivers are considered to potentially impact all prudential risks of Nordea's overall risk taxonomy, separately as well as along a cross risk view.

In addition to the 2024 MA, Nordea also performed the DMA which next to the environmental aspects (assessed in the MA) also included an assessment of the social and governance aspects (refer to section 'Environmental, social and governance factors').

Transmission channels used in the risk identification for ESG material risk drivers are defined as the causal chains that explain how ESG risk drivers impact Nordea specifically, through its counterparties, invested assets, third parties or its own operations. Transmission channels can be further divided into economic transmissions impacting the real economy and financial transmissions impacting a portion of Nordea's risk profile. Economic transmissions are either direct or indirect micro-economic effects, such as disruptions to economic activities from severe weather events, or macro-economic effects, such as productivity changes due to investments in climate change mitigation, and they map the impact on the level of the whole economy. Financial transmissions are channelled to Nordea through the risk categories, such as through higher probabilities of default in credit risk resulting from a negative impact of a climate-related transition in the real economy. For the purpose of risk identification, economic transmission channels are mapped to all relevant prudential risks, as part of Nordea's overall risk taxonomy, resulting in the ESG Factor Taxonomy.

Transmission channel relationships, between economic effects and financial effects, are classified according to direct effects on Nordea, predominately managed through Nordea's internal governance and control framework, and indirect effects on Nordea's third-parties and financial counterparties, predominately managed through Nordea's business and risk strategies and risk management for business activities. For the purposes of risk identification, a gross risk approach is applied (i.e. before management and mitigation). Nordea also defines the potential duration of the impact. Short term is defined as less than one year, medium term as one to five years, long-term as five to ten years, and very long-term as ten years or above.

As a supporting component of the (ESG) risk identification approach, Nordea has developed heatmaps to identify industries, and for climate-related physical risks countries and/or regions, that are potentially vulnerable to certain environmental factors. Heatmaps can only provide the starting point for assessment of risk materiality, indicating where to assess in more detail. Heatmaps are used, for example for credit, market, and operational risk areas to help risk identification, incl. portfolio classification, and materiality assessment.

Next to risk identification resulting from the MA and DMA, assessment of risk materiality is conducted within Nordea's Internal Capital and Liquidity Adequacy Assessment Processes (ICAAP and ILAAP respectively) across all prudential risks. Where ESG factors and their transmission channels are assessed as material under ICAAP and ILAAP thresholds, ESG-related risk must be embedded in Nordea's Common Risk Taxonomy and corresponding framework documentation. ESG-related risks are defined as Level 2 risk under credit risk. For the other prudential Level 1 risk types, market, liquidity, capital (including the Level 2 risk business model risk), operational and compliance risks, several ESG-specific Level 3 risks are defined under selected categories. These include fair value market risk, financial reporting, reputational, outsourcing and third party, physical security, legal, technology, conduct and customer outcomes, governance and people risks.

Material risks are assessed as those that could lead to a material impact on Nordea according to predefined criteria. These risks will typically refer to a higher-level risk within the risk taxonomy, which captures a number of underlying risks (i.e. Level 2 and 3 risks) in which direct losses arise from a common source. Materiality is assessed on a gross basis such that risk is considered with reference to the total exposure. Potential mitigants to the risk should not be considered in the assessment of materiality. As part of determining materiality, the impact from the risk needs to be assessed as well. As part of its ICAAP framework, Nordea has defined a four-tier categorisation (Bands 1-4) to determine materiality and impact of a risk:

- Band 1: quantitatively defined as a loss relative to Nordea's Common Equity Tier 1 (CET1) capital. A risk in Band 1 is always material.
- Band 2: quantitatively defined as a loss relative to CET1 capital. A risk assigned to Band 2 must be further assessed from a qualitative perspective and internal risk controllers use expert judgement to determine whether this risk is material or not.
- Band 3: qualitatively defined according to a set of criteria and relies on the expert judgement of the risk controller. A risk in Band 3 is always material.
- Band 4: defined as not meeting the criteria outlined in Bands 1-3. A risk in Band 4 is always non-material.

Bands 2 and 3 rely on expert judgement by the appropriate risk controller. Such expert judgement must be well documented. The materiality assessment is reviewed annually, as part of the annual update of the MA and yearly ICAAP process.

ESG factors in Risk Appetite Framework

As part of its prudent risk management, Nordea needs to ensure that risks driven by ESG factors (i.e. ESG Factor Taxonomy) are adequately managed and mitigated. Nordea's ESG Risk Appetite Framework (RAF) is a dedicated framework for ESG-related risk statements, metrics, limits, and governance. Specific monitoring and reporting processes are in place to ensure that the ESG-related risk profile of Nordea Group, branches and subsidiaries follow internal strategy and targets. This includes that the risk profile remains:

- within the parameters of the Group's strategic sustainability objectives
- within the parameters of the Group's financed emissions targets;
- in alignment with Nordea's business environment to avoid quick and disruptive changes to the business model or portfolios necessary to realign;
- at a limited exposure to material cross-risk ESG-related concentrations;
- and finally, within the defined lower (i.e. Level 2 and Level 3) limits and controls set for the underlying prudential risk types (e.g. compliance risk and operational risk).

Nordea first introduced a qualitative Board approved ESG-related Risk Appetite Statement (RAS) in 2019, setting the ESG-related boundaries within which business areas can operate. The current RAS elaborated further and requires prudent management of material ESG-related risk exposures across all prudential risks, engagement with customers to align with the Paris Agreement and Nordea's reduction in associated financed emissions over time.

Overall, specific ESG RAF metrics (set at Level 1, Level 2 or Level 3) are in place to control and monitor ESG specific risks via defined limits. The defined ESG metrics take the following in consideration:

- Consolidation and aggregation of ESG-related risk exposure (i.e. whether the metric controls a specific aspect of the individual risk area's profile or is more broadly part of the Group's cross risk profile), long to very long term Group strategy targets and objectives.
- Level of the risk within the Nordea Common Risk Taxonomy and the relevance of ESG factor exposure, focusing on material ESG factor exposures with a higher impact to the risk profile.
- Nordea's strategic ambition level, covering as relevant Group commitments (e.g. on financed emissions) and exclusion policies for activities that Nordea has decided not to finance.
- Alignment of the metric with other metrics – e.g. tolerances for financed GHG emissions disclosure restatement versus development of financed GHG emissions across the balance sheet over time.

Risk metrics and limits need to be expressed and measured in a consistent manner across business areas and/or Group functions to ensure a consistent and aggregable link to the Group's business and risk strategies and the RAS. The Sustainability and ESG Policy Framework sets guidance for the ESG RAS criteria, governance for limit monitoring, reporting, and breach escalation. In 2021, Board approved limits were introduced, with key risk indicators (KRIs) for limiting the financed emissions levels attributed to loans to the public. Continued development of the RAS and KRIs in 2024 resulted in the tightening of the Group Level 1 financial emissions limit to assure Nordea will reach its GHG emissions targets. Next, the Group Level 1 limit is further cascaded to the relevant business areas (Level 2 limits), using 2019 baseline levels and 2030 targets. The tightening includes a year-on-year decline of financed emissions to follow targets set.

Lending and investment strategies for selected portfolios and/or industries also include limits on Nordea's exposure to harmful or controversial economic activities that Nordea refrains from financing. Sector guidelines, which are publicly available, outline those activities that Nordea either refrains from financing or investing in and provide guidance in terms of requirements or recommendations for Nordea's customers. Sector guidelines also describe how Nordea will engage with customers who are committed to reducing their emission in line with the Paris Agreement. Nordea publishes such requirements in sector guidelines for forestry, real estate, shipping, agriculture, gambling, fossil fuel based, defence, and mining industries (see Sustainability Statement chapter E1 Climate change)

These requirements apply under credit, market and liquidity exposures as relevant for the risk profile. For lending exposures, industry credit policies provide internal guidance, as a part of the credit risk assessment and loan origination processes and embed the requirements as disclosed in the sector guidelines. For the investment strategy in the Illiquid Exposures portfolio, there is a detailed ESG analysis and separate ESG rating applied in the due diligence phase that is aligned towards Nordea's minimum requirements and long-term targets.

Further details regarding business strategy, risk management and governance associated with ESG factors, are specified in this report, in sub-sections for environmental, social and governance factors.

Environmental, social and governance factors

ENVIRONMENTAL FACTORS

Business strategy, targets and objectives

Management of environmental factors is key for Nordea. The factors are related to both positive and negative impacts towards Nordea. Nordea defined specific C&E risk drivers (see section: 'Approach to the assessment of materiality of ESG factors') and hazards. Risk drivers relate only to the impacts on the risk profile and hazards are individual / granular risk drivers (e.g. climate-related physical risk drivers versus flooding hazards).

The Group has published positions for both short- and long-term objectives on climate change for 2030 and 2050. For achieving Nordea's ESG objectives, Nordea identified the relevant and material United Nations Social Development Goals (SDGs) it will adhere to. The SDGs identified as material include SDG 7, Affordable and clean energy, and SDGs 12-15, Responsible production and consumption, Climate action, Life below water, and Life on land (see Sustainability Statement chapter 8A). The climate objectives have so far been prioritised with the objective to become a net-zero emissions bank by 2050 at the latest. At a global level, Nordea analyses the relationship between companies' GHG emissions intensities levels and their probabilities of default, indicating that a quantified GHG emissions reduction target relates to lower probability of default. In addition, Nordea has committed to support the Group's customers to address their impacts, while at the same time also reducing Nordea's own impact (see Sustainability Statement chapter 8A). This strategic ambition is implemented through various internal and external policies concerning selected own operations and financial counterparties, which have been aligned with international and European policy frameworks and benchmarks.

ENVIRONMENTAL FACTORS RELATED RISK MANAGEMENT

Risk identification

As defined in the section 'Approach to the assessment of materiality of ESG factor', Nordea has in place a specific ESG Factor Taxonomy. This has been developed taking into account EBA's report on management and supervision of ESG risks for credit institutions and investment firms (EBA/REP/2021/18), the EU's Regulation (EU) 2020/852 and international and regional best practices and sources. In addition, the ESG Factor Taxonomy is also aligned to the requirements of the CSRD.

The environmental part of the ESG Factor Taxonomy, consists of two secondary factors: climate and nature-related factors. Subsequently, these are further divided into physical and transitional effects and their corresponding constituent hazards (i.e. individual risk drivers) as relevant in the context of Nordea's business model. The ESG Factor Taxonomy is, among others, used as input for the annual climate- and nature-related MA. As part of the enhanced 2024 MA, all prudential risks in Nordea's risk taxonomy were assessed against C&E risk drivers. After the risk identification, each risk type is assessed for impact and materiality. For all prudential risks of Nordea's Common Risk Taxonomy, the MA is performed based on the four band process (as described in the section 'Approach to the assessment of materiality of ESG factors'). In 2024, only compliance risks were assessed as being in Band 4 (non-material). Per Q2 2024 Nordea also performed the DMA required by the CSRD. The internal 2024 MA serves as input for the risk identification part of the DMA, by mapping the internal defined C&E risk drivers to the ERS topics, sub-topics and sub-sub-topics. The DMA, in the context of the internal MA, is aligned to the bank's approach to the ICLAAP materiality thresholds, i.e., the four band process. The assessment has considered the impacts identified in the DMA across different portfolios, geographies and business areas.

Figure 3: Mapping and materiality assessment of the double materiality assessment scope for ERS E1 – E5 towards Nordea internal ESG factor taxonomy for CSRD purposes.

*Includes biodiversity loss, state of species, extent and condition of ecosystems, ecosystem services, water consumption, withdrawal, & discharges in the ocean, extraction and use of marine resources, pollution, and non-climate-related environmental hazards.

ESRS topic	Nordea ESG Factor Taxonomy level 2	Nordea ESG Factor Taxonomy level 3	DMA Materiality assessment
E1: Climate change	Climate-related changes	Physical effects	Material
		Transition effects	
	Nature-related Changes*	Physical effects	
		Transition effects	
E2: Pollution	Nature-related changes*	Physical effect	Non material
E3: Water and marine resources			Non material
E4: Biodiversity and ecosystems			Material
E5: Resources use and circular economy		Transition effects	Non-material

For the ESRS environmental topics, the internal C&E risk drivers were mapped against each environmental ESRS topic. Internal risk drivers related to climate change are mapped to ESRS topic E1 and risk drivers related to nature (degradation) were mapped to ESRS topics E2 to E5 (see figure 3).

Data adequacy

During 2024, Nordea has continued its efforts in improving data quality and accuracy in order to conduct effective risk quantification for environmental factors. The following section details the data improvements for each quantitative template for climate-related transitional and physical risk and mitigation actions subject to Q4 2024 reporting:

- Calculation and data distribution improvements in the business loans portfolio.
- Improved quality of customer Nomenclature of Economic Activities (NACE) codes.
- Increased quality of collateral data matching with EPCs.
- Improved methodology for identification of exposures subject to climate and nature-related physical hazards in Nordea's operating environment to cover both acute and chronic hazards and taking into account impact assessment.
- Inclusion of exposures to Norwegian NFRD undertakings as well as alignment for other financial NFRD undertakings.
- Disclosure of template 'Use of Proceeds for Households' according to internal GAR methodology.
- Inclusion of buildings built after 2021 through enhanced data and methodology using Near Zero Energy Buildings (NZEB) -10% approach.
- For Swedish households, the utilisation of primary energy demand (PED) values instead of EPC labels to improve identification of EU Taxonomy aligned households.
- Improvement of aligned households data in Finland through utilisation of correct EPC version against PED values
- Updated GAR methodology. When assessing exposures as EU Taxonomy aligned for residential real estate lending in the Danish and Finnish markets, the gross carrying amount excluding any second mortgage is assessed, as the use of second mortgages is unknown
- Regarding Template 10 in Part 2 of this report, the exposures in scope have been defined as the outstanding lending exposures according to Nordea's Green Funding Framework and Sustainability Linked Funding Framework criteria, other than EU Taxonomy aligned. These are exposures supporting counterparties in the climate change transition and adaptation process albeit not aligned with the EU Taxonomy.

In addition to the improvements made, to manage the challenge with data availability, manual data collection and data quality, effective controls are in place to improve the accuracy in the short term. In the medium to long term, improved detailed disclosure by customers is expected.

Further, for its GHG emission accounting, Nordea has sought to approximate missing information through common proxies, such as those provided through the Partnership for Carbon Accounting Financials (PCAF) or

internally derived estimates. The data requirements are set and determined by Nordea's internal governing body on reporting methodologies. Further disclosure ambitions, which in turn determine the need for further data collection, will be accomplished by leveraging on the established and existing processes.

Risk assessment and measurement per material risk type

The following section presents the approach and results of the 2024 MA per material risk type of Nordea's Common Risk Taxonomy, including business model risk, credit risk, market risk, liquidity risk and operational risk.

Business model risk

Risk factors for business model risk

Business model risk for Nordea is mainly driven by exposure within credit risk, given that Nordea's income and risk exposure amount (REA) are mainly driven (85%) by lending-related activities. This means that the ESG hazards relevant for credit risk are the most relevant for business model risk as well, for example coastal and inland flooding and the need to reduce the GHG emissions of counterparties. However, it's also important to not double-count these hazard transmissions to Nordea.

Transmission channels identified for business model risk

Given that business model risk is broader than any single ESG hazard, in most cases the risk cannot be linked toward any single hazard. Hence, different hazards and their impact could carry (additional) business model risks due to climate risks, manifesting through e.g. increased credit risk, resulting from stranded assets, legal liability, or changing customer preferences. Given the uncertainties around the ESG hazards occurring in the future, the relevant transmission channels and their impacts as well as any decision to set new strategic objectives to pre-emptively mitigate these risks and adapt to the changing climate, should be carried out prudently. Hence, while not specifically applicable to Nordea, as part of the 2024 MA only one specific business model related transmission channel covering all relevant C&E hazards was identified. Namely, potentially not having an effective long-term strategy in place to respond effectively and efficiently to the relevant C&E hazards that have been identified within an appropriate time horizon.

Materiality assessment method for business model risk

The MA for business model risk included the following methods to evaluate climate transition risk:

- Relevant literature review (e.g. scientific literature, publications from regulators, standard setters and industry groups).
- Quantitative analysis: Net Interest Income (NII) concentration and Net Commission Income (NCI) analysis. In addition, Nordea performed an assessment on the Group-wide emission targets per business areas and potential changes in strategy.
- Stress testing: specific long-term scenario analysis (+30 years).
- Heatmapping: mapping relevant ESG risk factors towards transmission channels which will impact Nordea's business model risk (mainly via credit risk).

For business model risk, the climate-related physical and nature-related risk impact is qualitatively assessed. As indicated above, business model risk is mainly manifested through the choice of assets Nordea has on its balance sheet. Nature-related and climate-related physical risk impact quantification may also be materially affected, especially in the very long-term. Therefore, qualitatively business model risk is well considered within Nordea's current strategy via, among others, the portfolio strategies, policy frameworks and customer engagements. Further improvements and enhancements are recognised for 2025.

Outcome of materiality assessment for business model risk

The 2024 MA concluded that business model risk is assessed as Band 3, and is material. C&E risk drivers are expected to potentially deteriorate Nordea's revenue-making capacity under a business-as-usual approach (i.e. without a strategic response aligned to the business environment). Nordea already mitigates this impact through strategic response that includes both targets and objectives on reducing exposure into harmful activities (e.g. peat mining and offshore) and financed emissions (i.e. targets toward net zero by 2050 covering the entire balance sheet and cascaded to business areas and selected industries), as well as via inclusion of ESG factors into our credit strategies and policies.

Credit risk

Risk factors for credit risk

Credit risk for Nordea is mainly driven by the climate-related physical risk drivers related to 'flooding' and the climate-related transition risk drivers related to the 'need to reduce the GHG emissions of counterparties'.

Transmission channels identified for credit risk

'Credit quality deterioration', 'increase in concentration' and 'collateral valuation' have been assessed as Nordea's climate and nature-related transmission channels materially driven by the identified hazards (i.e. specific risk drivers). Nordea has significant exposure to industries identified as vulnerable to climate-related transition and physical hazards, predominately driven by the residential real-estate (RE) exposure. Non-RE portfolios are relatively well diversified across and within different industries.

Materiality assessment method for credit risk

The MA assessment for credit risk included the following methods to evaluate both climate-related physical as well as transition risk:

- Relevant literature review (e.g. scientific literature, publications from regulators, standard setters and industry groups).
- Portfolio exposure analysis.
- Stress testing: Three specific scenarios were assessed for credit risk impact (part of ICAAP). The three scenarios were a mixture of both short- and long-term scenarios, to test climate-related transition and physical risk resilience respectively.
- Heatmapping: identified risk drivers are assessed according to a standardised and literature derived set of transmission channels and time horizons, and applied to assess materiality. Hence, with the support of this

heatmapping exercise per industry, country and geography, 'collateral devaluation', 'credit quality deterioration' and 'increase in concentration' have been assessed as the most material credit risk transmission channels for Nordea.

Credit risk is also the risk type most affected by nature-related transition and physical risks, mainly arising via Nordea's lending operations, via the defined transmission channels. Although some quantification was performed for nature-related credit risks (i.e. stress testing), the estimated impact requires further enhancements. During 2025, further development will be undertaken in relation to the risk quantification. Overall, Nordea has a low exposure to industries assessed as highly vulnerable to nature-related risks, with highest vulnerability in primary production segments such as agriculture.

Outcome of materiality assessment for credit risk

The 2024 MA concluded that credit risk is assessed as materiality Band 1 with capital allocation impact. Risk drivers are assessed primarily on a scenario and stress testing basis where three unique scenarios were applied, supplemented through an assessment of the portfolio exposures and relevant scientific literature. Credit risk represents the most important component of the aggregate risk (85% of REA). C&E risk drivers are assessed as material drivers of credit risk in the short- to very long-term, although at varying time horizons per C&E driver of risk. 70-75% of Nordea's credit exposures are in the industries vulnerable to climate-related physical hazards (concentrated mainly in real estate) and a further 5% in industries vulnerable to climate-related transition hazards. Compounding water-based hazards are a key risk driver, especially in Denmark and Sweden and to a lesser extent in Finland and Norway (in order of magnitude) for immovable property. In addition, transitional hazards impact regulatory and technological driven counterparties the most. The assessment of the capital amount needed for climate-related credit risk is based on the 1-year REA impact from climate stress testing, considering climate-related transitional and physical risks.

Market risk

Risk factors for market risk

Market risk for Nordea is mainly driven by climate-related transition risk drivers related to 'regulatory changes'. There is a lesser effect from climate-related physical risk drivers related to 'extreme weather conditions' (e.g. 'heatwaves & droughts'), and 'flooding' related risk drivers.

Transmission channels identified for market risk

'Fair value asset devaluation' is identified as the only, directly relevant transmission channel for market risk.

Materiality assessment method for market risk

The MA assessment for market risk, i.e. effect of the risk drivers on the trading and banking book fair value (FV), includes the following methods to evaluate both climate-related physical as well as transition risk:

- Relevant literature review (e.g., scientific literature, publications from regulators, standard setters and industry groups).
- Qualitative assessment: qualitative assessment by the appropriate risk controller of the combined mitigating factors in the non-trading book. The assessment was based on the portfolio composition (e.g., products and sectors), analysis of the business models, portfolio structures, geographical footprint across the Nordics, the EU and the US, and underlying risk types, e.g., interest rate and equity.
- Stress testing: The market risk stress testing was primarily based on two Phase IV Network for Greening the Financial System (NGFS) scenarios: Delayed Transition and the Current Policies, for climate-related transition and physical risk respectively. The scenarios are based on Integrated Assessment Models (IAMs) which account for multiple compounding events and socio-economic pathways.

Nature-related risk drivers were assessed qualitatively through analysis of each portfolio's exposure to sectors vulnerable to nature-related risk. Due to the portfolio composition there is little exposure to vulnerable sectors and where there is, it is deemed not material.

Outcome of materiality assessment for market risk

The 2024 MA concluded that market risk is assessed as Band 2 and further assessed by the respective risk controller as not material and requiring no additional capitalization. C&E risk drivers were assessed on a scenario and stress testing basis where a combination of scenarios was applied. Climate-related risk drivers were assessed to decrease the FV of market risk. However the decrease of FV remained within the risk appetite limits. These results are based on the impact from transition risk drivers related to 'regulatory changes'. The impact is driven by macro and general market shocks to interest rate risk in the liquidity portfolio and equity risk (outside the Nordic region) in the illiquid exposure portfolio. C&E risk drivers cause FV devaluations on the non-traded exposures in the liquidity portfolio, illiquid exposures and defined benefit pension scheme (DBPS) portfolios. Nature-related risks are assessed as immaterial for market risk based on the limited corporate exposure in vulnerable industries.

Liquidity risk

Risk factors for liquidity risk

Liquidity risk for Nordea is mainly driven by the climate-related physical 'flooding' risk drivers (both acute and chronic) and the climate-related transition risk drivers related to 'reputational risk', stemming from greenwashing risk.

Transmission channels identified for liquidity risk

'Cash outflows', 'collateral funding impact' and 'high-quality liquid asset (HQLA) devaluation' are identified as the relevant transmission channels for liquidity risk.

Materiality assessment method for liquidity risk

The MA assessment for liquidity risk, which relates to short-term C&E impacts, includes Nordea's exposures to GHG emission intensive sectors and the value of the underlying collateral of lending exposures. The following methods are included to evaluate both climate-related physical as well as climate-related transition risk:

- Relevant literature review (e.g., scientific literature, publications from regulators, standard setters and industry groups).
- Stress testing: four specific (short-term) scenarios were assessed for liquidity risk impact (part of ILAAP).
- From nature-related risk perspective materiality was assessed on the basis of importance from a regulatory perspective (non-quantified impact) over the short to very long time horizon.

Outcome of materiality assessment for liquidity risk

The 2024 MA concluded that liquidity risk is assessed as materiality Band 3 with no capital allocation impact. C&E risk drivers are assessed on a scenario and stress testing basis where four unique scenarios were applied. C&E risk drivers mainly impact high-quality liquid assets and real estate collateralised assets (e.g. mortgage bonds), where compounding water-based hazards are seen as the most relevant risk drivers. Liquidity ratios remain within risk limits under all stress scenarios, except under a very severe scenario of compounding hazards (e.g. where climate-related transition and physical plus a reputational event all happen concurrently). Nature-related hazards are not likely to affect liquidity.

Operational risk

Risk factors for operational risk

Operational risk (including reputational risk, liability and litigation risk) for Nordea is mainly driven by the climate-related and nature-related transition risk drivers related to 'reputational risk', stemming from the risk of being fined or litigated. Climate-related physical risk drivers were assessed as non-material.

Transmission channels identified for operational risk

Relevant transmission channels identified for operational risk are 'increased litigation and liability' mapped to legal risk, 'litigation due to legal risk' mapped to legal risk, 'changed market perception' mapped to reputational risk and 'failures in financial reporting' mapped to financial reporting risk.

Materiality assessment method for operational risk

The MA assessment for operational risk includes the following methods to evaluate climate and nature-related transition risk:

- Relevant literature review (e.g. scientific literature, publications from regulators, standard setters and industry groups).
- Qualitative assessment: Identification and conclusion of all relevant C&E hazards in parallel with mapping out critical assets/ operations in geographical locations.
- Scenario-based analysis: For each identified C&E-related risk, the most likely time horizon for materialisation was determined. Quantitative and qualitative impact of the C&E hazards, identified vulnerable for materialisation, are assessed via multiple scenario-based analysis to decide the materiality.

Outcome of materiality assessment for operational risk

The 2024 MA concluded that operational risk (incl. reputational, liability and litigation risk) is assessed as materiality Band 3 with no capital allocation impact. C&E risk drivers are assessed on a scenario basis where 34 unique scenarios were created across 7 different countries. C&E-related physical risk drivers were (scope covering own operations & third-party providers) assessed as non-material. Transition risk drivers (both climate and nature-related) associated with legal and greenwashing effects are found to potentially materialise due to accusations of greenwashing activities, resulting from financing emission intensive customers.

Risk response and mitigation

Climate-related transition risks

Nordea issued a first position statement in 2019 outlining key climate transition commitments. This, among others, included the support for the Task Force on Climate-related Financial Disclosure (TCFD) recommendations and development of financed emissions reporting aligned with the GHG Protocol and PCAF Standard. In addition, business areas' strategies towards 2025 are set to engage with counterparties to reduce financed emissions and to grow sustainable financing to support the 2030 internal GHG emissions reduction target.

Concerning environmental impacts by Nordea's own operations (see Sustainability Statement chapter E1 Climate change and E4 Biodiversity and ecosystems), the internal Code of Conduct sets out the importance of employees acting in a manner conducive to caring for the environment and the third-party procurement process assesses selected environmental impacts. Finally, Nordea implemented an internal carbon reduction plan towards 2030 and 2050.

More specifically, sector specific climate targets are defined, covering shipping, agriculture, power production, motor vehicles (cars & vans), fossil fuel, residential real estate (household mortgages and tenant-owner associations), and thermal peat mining outlining how these portfolios must evolve over time to meet long-term objectives (see further information on targets in Sustainability Statement chapter E1 Climate change). A quantitative financed emissions limit, as defined in the Risk Appetite Statement, backstops Nordea's 2030 objective, and

operates as a 'carbon budget' for retail and corporate lending. The limit is comprised of the financed emissions stemming from lending, covering the Scope 1 and 2 carbon dioxide equivalent GHG emissions of Nordea's counterparties. The limit is measured in relative terms to the 2019 year-end level. The limit is cascaded to the business areas, to ensure a link between the Group objective and industry level targets which are steered at a business area level. Allocations and steering are conducted using 2019 as baseline and 2030 forecasts for financed emissions developments, which are supported in steering through the use of granulated financed emissions data and customer's transition plans. During 2024, Nordea tightened the limits for the total financed emissions to keep on track of its internal targets. The tightening of the financial emissions limits consists of a methodological year on year change towards 40%-50% reduction by 2030. The next target is set to become net zero by 2050, accounting for the broader economic transition pathway.

On top, to ensure that portfolio steering accounts for quantified climate-related objectives, Nordea has integrated financed emissions developments to the Rolling Financial Forecast (RFF) to 2030 and initiated high level outlooks to 2050, using policy-driven decarbonization targets, client specific reduction targets, and lending volume forecasts. The implied trajectory towards financed emission targets and utilization of limits indicated by the forecast are monitored on a quarterly basis and discussed at least semi-annually by senior management including GLT.

To follow the industry-level climate-related transition strategies, available customer-level emissions data is collected and assessed via the internal BES process. The purpose of the BES is to provide insights to the organisation on how ESG factors impact the business environment where Nordea is active or is considering becoming active and to support Nordea's strategy setting process. Hence, results of the BES aim to support:

- business areas in making informed strategic decisions and managing their business strategies in alignment with sustainability-related targets and objectives
- the organisation in further developing processes for managing ESG-related risks, stress-testing and capital
- compliance with relevant supervisory and regulatory requirements regarding the alignment of the business model with the external business environment.

In 2024, the insights of the BES were also used for the enhancement of the climate- and nature-related MA based on the Group-wide ESG Factor Taxonomy, including C&E risk hazards, individual risk drivers, transmission channels and accompanying materiality impact assessment (as described in the section: 'Approach to the assessment of materiality of ESG factors').

Climate-related physical risks

For climate-related physical risks, as part of the ESG Factor Taxonomy, Nordea has in place specific risk drivers which potentially could (negatively) impact Nordea. As a result of the 2024 MA, especially underlying real-estate collateral may be impacted by risks associated with flooding, which were identified as potentially the most relevant in the period to 2030 (i.e. collateral devaluation). Nordea publishes the Group's gross risk exposure to climate-related physical hazards, chronic and acute, in Table X of Part 2 of this report. The identified risk drivers are managed and mitigated through a range of private and public, municipal and national actions. These include, but are not limited to, energy performance certificate (EPC) data, availability of corporate transition plans, customer ESG assessments, industry credit policies, national adaption & insurance availability monitoring and environmental & building certifications & permits. Ongoing data development projects assure more accurate and precise data is being used for risk management. Nordea also has in place specific risk appetite indicators (as part of the overall RAF) for climate-related physical risks.

Nature-related risks

For nature-related risks, as part of the ESG framework, Nordea has defined specific physical and transition risk drivers which potentially could (negatively) impact Nordea. On the physical risk side, relevant risk drivers would relate to, among others, the loss of tree cover and the condition and productivity of ecosystems. Relevant transition risks would constitute, for example, various regulatory, technology and societal trends associated with nature. Physical risk drivers identified as less relevant for Nordea's business included e.g., land, freshwater and sea use change, invasive species and water scarcity.

Overall, Nordea's exposure to nature-related risk is mainly driven by transition risks, and the exposure to highly vulnerable sectors is low on the credit risk side. Still, where individual exposures can be low such as on the real estate side, in aggregate the size of the total exposure can drive up the total nature-related risk. While materiality was identified for nature-related risks in the various risk categories, it is mainly regulatory, driven by the high attention to various environmental and nature-related risks. Nordea has also taken several steps to quantify nature-related impact. By applying an external biodiversity impact scoring to our lending portfolio (based on Finance for Biodiversity Foundation, 04/2023), Nordea has identified sectors with the highest biodiversity footprint, and identified that those are within agriculture, animal husbandry, food processing & beverages, and materials. Furthermore, Nordea has investigated several approaches on biodiversity impact quantification, including via commercial providers and academic institutions, to identify approaches suitable for Nordea both in relation to impact metrics, scientific approach and data solutions. During 2025, Nordea will continue working on the quantification of biodiversity impacts and risks from our lending portfolio, including to understand in more detail the sources of risk, data requirements and the risk transmission to Nordea's portfolios.

As described in the introduction, Nordea published the Group's first position on biodiversity and nature-related

impacts and risks in 2023. This guiding document outlines Nordea's Biodiversity Roadmap, and the commitments to incorporate biodiversity into the Group's business strategy, governance and risk management towards 2025. Initial steps have been taken by carrying out internal trainings. In addition, first steps have also been taken for extending nature-related targets in Nordea's Risk Appetite Framework.

Although the position is forward-looking, Nordea already has several commitments in place to address nature-related changes. One action is the implementation of the Equator Principles for project finance. For shipping, Nordea is also signatory to the Responsible Ship Recycling Standards (RSRS) and Poseidon Principles (PP) with the aim to minimize the dangers associated with dismantling of vessels including labour conditions and environmental impact. By following the UN Global Compact together with RSRS, the Equator Principles and PP, specific commitments are in place for selected financial counterparties for recycling, pollution prevention and mitigating climate related risk in shipping and project finance. Mitigation of fresh water stress, resource scarcity and water, air & land contamination are also addressed in Nordea's current strategic ambition. Per 2023 Nordea set an initial risk appetite approach for nature-related risks, which focuses on ensuring the identification, monitoring and mitigation of nature-related risks for large corporate counterparties in vulnerable industries.

Risk control and monitoring

The following section presents the risk control and monitoring per material risk type of Nordea's Common Risk Taxonomy, starting with business model risk, credit risk, market risk, liquidity risk and operational risk respectively.

Business model risk

Nordea's medium-term portfolio-wide target to reduce emissions in the lending portfolio by 40-50% by 2030 has been cascaded to individual portfolios deemed material in regard to financed emissions, last updated per Q3 2024. The first round of individual portfolio targets (i.e. sector targets) were set in 2022 as per Nordea's commitment to the Net-Zero Banking Alliance (NZBA), covering the residential real estate, shipping, oil & gas, offshore & thermal coal & peat mining portfolios. During 2024, additional sector targets were developed. Medium-term portfolio targets are set based on relevant benchmark scenarios and methodologies to align towards science-based and policy-based decarbonization pathways. In addition, the scenarios cover a majority of the financed emissions in the lending portfolio, ensuring an alignment between Nordea's strategic ambition and the external policy environment through Nordea's own transition plan.

Published sector targets are available at [Nordea.com](https://www.nordea.com) with references to benchmark scenarios used and published in the Annual Report. In addition, Nordea's business areas have set medium-term business area specific financed emission targets to steer and control overall portfolio emissions. The progress is monitored by internal reporting and financed emission forecasting to assess deviations from the pathways set. Targets are measured and monitored internally and progress on setting targets is disclosed annually in Nordea's Annual Report. The strategic ambition is backstopped by the risk appetite framework while being monitored via the RFF.

Credit Risk

Nordea continues to enhance and re-develop aspects of the credit customer ESG assessment process to systematically integrate ESG-related considerations in the credit process. The ESG factors as part of the ESG Factor Taxonomy, are cascaded down and applied in the credit risk management framework as 'ESG-related credit risk drivers'. For corporate borrowers, depending on the size and internal segmentation, ESG-related credit risk drivers are investigated and any identified ESG-related risks are assessed further, either on industry basis (inherent risks) or on customer level. Risks that are material to the borrower's credit risk are treated as any other risk driver and further integrated into the credit risk assessment. When impact from ESG-related risk is so severe that it causes misalignment with the rating, an ESG rating override can be applied. Per 2024 Nordea's customer risk assessment approach has been updated, including the development of the credit risk rating override framework, to control and monitor the identified credit risk drivers from the 2024 MA. The regular monitoring of borrowers' credit risk captures ESG-related issues through the use of early warning indicators (EWI). When an EWI is triggered, it is required to consider if the event is related to ESG, and if so, an ESG assessment must be requested. Approvals are made according to the established credit decision-making process.

For customers associated with high ESG-related risk levels, decisions are escalated to higher-level credit committees as relevant.

ESG factors affecting business selection decisions, be it through established sector targets, sector guidelines or decisions on individual credits risk, are increasingly reflected in the customer selection, capital allocation, collateral valuation and pricing decisions within Nordea. ESG factors can also be reflected in the margin of certain sustainable lending products, such as green loans and sustainability-linked loans where the margin is tied to the financed assets or the customer's ESG performance. Nordea's strategic loan pricing frameworks currently reflect choices in Nordea's business selection and risk appetite, including established targets for risk-adjusted returns on allocated credit risk capital. For transitional effects linked to collaterals, Nordea, for example, revaluates external shipping appraisers and sources available EPC data for real estate valuation on a quarterly basis. At the same time, the monitoring of the EPC data development is also carried out on a periodic basis.

Climate-related transition risks are assessed with an enhanced focus on customers with business models implying high GHG-emissions. The key components of the assessment include counterparties' GHG emissions intensity developments, corresponding quality of their transition plan and the resulting impact of climate-related transition and physical risks on customer repayment capacity. This analysis is aligned with the Group targets on financed GHG emissions reductions and transition plan coverage by the business areas.

Climate-related physical risks as currently assessed, in the context of real estate, are controlled through monitoring measures including insurance coverage requirements for counterparties, municipal, regional and national building regulation and adaptation measures, monitoring by policy makers through early warning indicator systems, Nordea's monitoring for real estate indexed market values and corresponding revaluation approach, and Nordea's current loan-to-value (LTV) requirements.

Potential impacts from nature-related risks are controlled and monitored through counterparty certification systems such as those for forestry management and sustainable real estate. Furthermore, the control and monitoring process for nature-related risk includes having effective and efficient policies and programmes in place to reduce potential harmful impacts on the environment. ESG-related considerations in the credit process are further guided by the internal industry credit policies, which can include ESG-related exclusion criteria from exposure to harmful or controversial economic activities and requirements on engagement and monitoring of climate-related transition plans. In addition to these processes, where relevant, Nordea conducts environmental and social impact assessments when financing large infrastructure and industrial projects, as part of Nordea's commitment to the Equator Principles.

Overall, 2024 saw the further development of ESG risk management at the level of individual corporate customers for controlling and monitoring credit risk. ESG Factor Taxonomy based ESG credit risk definitions were established, which form the basis for identifying ESG risks in the credit process. Further ambition is to screen corporate customers for whom individual ESG risks could materially impact their credit risk. This is accomplished by a semi-automated tool, supplemented by human oversight to flag customers that require enhanced ESG assessments by dedicated ESG analysts with focus on identifying and assessing both customers' vulnerability and resilience towards material ESG issues. To support these analyses, external databases are used to assess performance on specific ESG-related risks and to assess if the company has been or is involved in ESG-related controversies.

Market risk

Nordea is applying the PCAF methodology for measuring financed emissions in the listed equity and corporate bond portfolios. This has strengthened the bank's ability to measure, report and steer the carbon footprint linked to fair-value inventory holdings in the trading book and investments in the banking book portfolios. Improvements in data quality, and the ability to classify not only listed equities, but private equities and funds, based on their sector, has been a focus for Nordea in 2024.

Liquidity risk

The ESG framework within the illiquid exposures portfolio allows for a proactive allocation of investment capital, monitoring and tracking several metrics and data points for ESG factors (those having both positive and negative effects). Current and future impacts and risks are assessed, monitored and controlled. In addition, clients are supported and prompted in seeking to become, if not already, positive-impact contributors. The principles guiding investment decisions include the establishment of a minimum level of qualifying criteria for fund managers seeking to secure investments from Nordea. This also includes securing legal sector guideline protections ahead of future investments. The principles also include the requirement for monitoring progress – on a yearly basis – of ESG factor impacts within the portfolio including the current tracking of financed emissions. Fund managers must be aware of their responsibility when managing institutional capital, including how they can influence where capital is being deployed and how to address ESG factors in the underlying portfolio companies or credit positions they hold.

On climate specifically, a core focus is on reduction initiatives, carbon avoidance and carbon neutrality, in addition to securing preservation of natural resources. Nordea aims to understand how ESG factors are captured throughout the investment cycle for each fund manager both during the due diligence process, holding period and exit. Additionally, in real asset fund investments, assessments are made on the holding of green building certificates for real estate, whether shipping assets in the portfolio are following RSRS and Poseidon Principles and/or have Net Zero targets. The principles aim to further improve (risk) management.

Operational risk

ESG factors are embedded in the operational risk taxonomy (including reputational risk and liability and litigation risk), to support the identification and assessment of ESG related risks relevant for operational risk. The following tools for operational risk are in place to manage the (ESG) risks:

- scenario analysis, to identify and assess 'tail risks'
- Risk and Control Self-Assessment (RCSA) process, to assess associated risks and controls across Nordea
- Change Risk Management and Approval (CRMA) process, to ensure an understanding of change-related risks before they are operationalised
- Third Party Risk Management (TPRM) process, to ensure that third- party associated risks are appropriately managed
- Incident Management Framework, to ensure appropriate incident handling and reporting.

Specifically concerning reputational risk, the negative reputational impact stemming from Nordea's activities is considered and managed as relevant. This includes the risk of not having identified, assessed and/or managed reputational risk stemming from current or prospective ESG factors in a timely, correct or sufficient manner, causing negative attention from media or stakeholders.

Liability and litigation risk stemming from ESG risk drivers is defined in Nordea's Common Risk Taxonomy as 'climate- and nature-related litigation'. The risk covers direct liability risk (legal) claims or litigation directed towards Nordea and was established with the purpose to complement the 'dispute management risk' by focusing specifically on events stemming from ESG factors.

ESG-related financial reporting risk is defined under operational risk in Nordea's Common Risk Taxonomy, as risks related to Nordea failing to provide complete, accurate, compliant and appropriate ESG related financial information in financial and regulatory reporting and related disclosures.

Finally, operational risks identified as materially impacted by ESG factors are managed in accordance with Nordea's continuous risk management lifecycle per the risk management framework and three LoDs model.

Capital & liquidity adequacy conclusion

ICAAP

Capital adequacy assessment coverage for ESG-related impacts was initiated in 2020 and extended in 2021 to cover all prudential risk categories of Nordea's Common Risk Taxonomy. Hence, for determining capital adequacy relevant for ESG factors Nordea applies a cross-risk view.

In 2024, as part of the MA, Nordea, for the first time, assessed each risk of its Common Risk Taxonomy for capitalisation purposes, both separately and along a cross-risk view (as described in section 'Approach to the assessment of materiality of ESG factors'). To determine the materiality level of financial impacts, Nordea used the classification system (4 band system) already consistently applied across the prudential risks and outlined in its ICLAAP framework. As a result of applying this framework, it was concluded that for climate-related impact on credit risk, additional capital reservation was deemed relevant. For all other risk types, it was assessed that no additional capitalisation was needed. Nordea has a strong capital position in place to cover for this additional capital.

Nordea notes that all prudential risks, except compliance and market risk, are materially driven by ESG risk drivers, as evidenced by Nordea's 2024 MA. In addition, some aspects of impacts from ESG risk drivers are already implicitly integrated to risk exposure quantification.

ILAAP

Environmental related liquidity risk impacts were quantified in 2022 in a Group level assessment and the process was revisited in 2023. The conclusion of the 2024 ILAAP was that climate or nature-related hazards are most likely to affect HQLA and residential real estate collateralised assets relative to the entire liquidity portfolio, with compounding chronic and acute water-related hazards seen as the most relevant. However, Nordea's liquidity ratios remain well within risk limits, except in a very severe scenario of compounding hazards. Nature-related hazards are highly unlikely to affect liquidity. Overall, results showed that Nordea has a sufficient liquidity buffer in place to cover for ESG-related risks.

Stress testing

As part of the yearly ICLAAP process Nordea performs a set of climate related stress tests and sensitivity analysis. Results are used to determine materiality and impact of ESG risk drivers on Nordea's business model. These stress tests and sensitivity analyses inform how transmission of climate- and nature-related effects may affect trading and banking book exposures, Nordea's liquidity position and the resilience of the business strategy.

Credit risk-related stress tests have, since 2020, been used to assess the short-term impact of increases in a tax on GHG emissions which is simulated over a 3-year period using Nordea's credit risk stress testing models, consistently indicating a material impact. The GHG emissions tax scenarios were applied as an increased cost for corporate borrowers to measure the impact on Nordea's credit losses and REA. Methodological improvements were undertaken during that period, including the use of available corporate customer data for Scope 1 and 2 GHG emissions and the attribution of industry level proxies, where customer data is

not available. Stress testing on climate-related physical risks since 2021 has focused on drought and flooding impacts at different levels of granularity within the Nordic region. Long-term stress tests have also assessed the potential to continue remaining aligned to a net zero pathway under uncertainties related to global implementation of the Paris Agreement. The results demonstrated significant methodological uncertainties in long-term stress testing and a material dependency on the transition actions of external stakeholders such as customers and policy makers. The results indicated that climate-related credit risks are material in the short- and long-terms, for both transitional and physical effects.

Market risk related stress testing focuses on two short-term scenarios, one for transition risk and another for acute physical risk. For transition risk, the scenario is based on the scenario used for the MA, NGFS 'Delayed Transition', but with a reduced set of risk factors. For acute physical risk, an internally derived scenario, 'Nordic flood risk on mortgage credit spreads', is used. Covering the most relevant physical risk hazard for Nordea, given Nordea's location, operations and material Nordic mortgage bond portfolios, it also aligns with credit and liquidity physical risk scenarios.

Liquidity risk related stress testing (for ILAAP purposes), focuses on short-term climate related transitional risk and physical risk (flooding) scenarios. The outcome informed the Group level assessments of climate aspects within the ESG-related liquidity risks. Climate change was assessed as a material driver of asset liquidity risk, deposit risk and off-balance sheet risk on the basis of outflows identified. In all cases, the potential impact was assessed as low.

Finally, for operational risk, a diverse set of scenarios was assessed with the conclusion that transition risk drivers associated with legal and greenwashing effects are most material.

Nordea continues to develop its stress testing capabilities to quantify the potential impacts of climate- and nature-related changes. From 2023, Nordea has integrated climate-related stress testing into the yearly ICAAP process. During ICAAP 2024, credit-related stress testing has included a short-term climate-related transitional scenario built into one of the main ICAAP scenarios, a more comprehensive flood risk scenario, long-term portfolio projections under different transition risk scenarios and, for the first time, an analysis of Nordea's sensitivity to a loss of biodiversity. Embedding climate change stress testing within the ICAAP has an explicit learning purpose and will include information and features from other parts of Nordea's climate-related activities. This will help further anchor stress testing as part of the overall climate- and nature-related activities and informing those with regards to stress test requirements and results.

SOCIAL FACTORS

Business strategy, targets and objectives

Nordea sees human rights as the foundation for the work within the Group's social responsibility strategy and fundamental to ensuring a social license to operate and continued business growth. To further support the Group's strategy, Nordea has defined thematic focus areas (e.g. human rights) to leverage Nordea's market position and size to make a positive contribution to society (see Sustainability Statement chapter Social information).

Similar to environmental factors, the strategic ambition on social factors is implemented through various internal and external policies (part of the ESG Policy Framework) concerning own operations and financial counterparties, which have been aligned with international standards and guidelines. SDGs identified as material for achieving sustainable impact on social objectives include SDGs 4-5, Quality education and Gender equality, and SDGs 8-10, Decent work and inclusive growth, Industry, innovation and infrastructure, and Reduced inequalities (see Sustainability Statement chapter Social information).

Nordea is guided by the UN Guiding Principles on Business and Human Rights and sets out financing principles concerning social factor impacts through the UN Global Compact, and, for project finance, the Equator Principles. Nordea sets requirements as part of the strategy to limit adverse human rights impacts. Nordea recognises that some sectors are more exposed to human rights risks and takes this into account in the sector guidelines. Nordea's internal policies on sanctions indirectly address potential social impacts, such as on human rights, through implementation in the relevant activities and portfolios. Nordea provides a full list of the Group's stakeholders and the Group's actions to build and sustain strong and long-lasting relationships with them in its Annual Report.

Concerning selected internal operations, Nordea's Code of Conduct contains principles on considerations of stakeholder impacts, customer relationships, promoting equality and diversity, human rights, labour rights, and a commitment to control and manage financial crime.

An annual training is mandatory for all staff on the Code of Conduct. Additional voluntary training on human rights is available for all interested staff. Nordea also sets policies concerning gender balance, non-discrimination, and third-party procurement.

SOCIAL FACTORS-RELATED RISK MANAGEMENT

Risk identification

As part of the ESG Factor Taxonomy, Nordea has defined socially-related risk drivers and where possible, linked them to the relevant ESRS topics as part of the CSRD. The internal ESG Factor Taxonomy includes three social risk drivers, of which one is 'workers in the own workforce and value chain' (i.e. human rights). To determine the potential impact, Nordea has assessed the materiality of these social risk drivers as potentially driving (additional) impact on one of its prudential risks. Applying the ESRS S1-S4 mapping to Nordea's ESG Factor Taxonomy resulted into extended materiality assessments for credit risk, operational risk and compliance risk (see figure 4). For both the ESRS social and governance topics, Nordea used a decision tree approach using the internal environmental ICLAAP materiality assessment process. In more detail this means that, where possible, a materiality mapping was made from Nordea's Common Risk Taxonomy (Level 1 or Level 2) to CSRD ESRSs. If a specific mapping was not possible to make, Nordea analysed whether the ESRS topic or an underlying topic was relevant to lending, investments, procurement and/or own operations and then mapped accordingly to Nordea Common Risk Taxonomy.

Figure 4: Mapping and materiality assessment of the double materiality assessment scope for ESRS S1 – S4 towards Nordea internal ESG factor taxonomy for CSRD purposes.

ESRS topic	Nordea ESG Factor Taxonomy Level 2	Nordea ESG Factor Taxonomy Level 3	Impact assessment financial risk perspective ESRS topic
S1: Own workforce	Workers in own workforce and value chain	Working conditions	Material
		Equal treatment and opportunities for all	
		Other work-related rights	
S2: Workers in the value chain		n/a	Non material
S3: affected communities	Communities	Economic, social and cultural rights	Non material
		Civil and political rights	
		Rights of indigenous peoples	
S4: Consumers and end users	Customers relationships	Information	Material
		Personal safety	
		Social inclusion	

Risk assessment and measurement per relevant risk type

Credit risk

Nordea constructed heatmaps to provide a structured methodology to identify possible social risks in the value chain. Social risk is defined as the risk associated with human rights violations throughout the value chain. These risks may be financial risks, for example credit risk when clients may default as a result of labour-related strikes or fines, and non-financial risks such as reputational risk (part of operational risk). Heatmaps as a tool of risk identification and assessment are used for the identification of the potential risk in sectors in which Nordea's counterparties operate. The heatmaps consider and have embedded the country dimension to account for the discrepancies on how countries protect human rights to varying degrees through their national public policy. Two ESRS topics were linked to Nordea's credit risk of Nordea's Common Risk Taxonomy: S2 'Workers in the value chain' and S3 'Affected communities'. However, both were assessed to not materially impact Nordea's credit risk.

Next to this qualitative assessment for the social risk drivers, Nordea has defined certain conditions in each industry credit policy to exclude specific human rights violations. In addition, Nordea has in place specific criteria for customers involved in gambling and defence, which assures a prudent way of working when evaluating customers in these industries.

Operational risk

For operational risk (including reputational risk and liability and litigation risk), a qualitative assessment of the potential impact of each social factor (Level 2 in the internal ESG Factor Taxonomy) was made for the inherent risk of all Level 2 risks under operational risk, as part Nordea's Common Risk Taxonomy, indicating that all factors were considered relevant. Two ESRS topics were linked to Nordea's operational risk of Nordea's Common Risk Taxonomy: S2 'Workers in the value chain' and S3 'Affected communities'. However, while relevant, both were assessed not materially impacting inherent operational risks.

Compliance risk

For compliance risk, the same qualitative assessment as described above was conducted. Two ESRS topics were linked to Nordea's compliance risk of Nordea's Common Risk Taxonomy: S1 'own workforce' and S4 'Consumers and end users'. Both were assessed as being material. 'S1 own workforce' has been mapped to the Level 2 people risk (part of Level 1 compliance risk) which describes the risks relating to employment lifecycle, remuneration, wellbeing, employee capacity and competence management, sustainable employment, and diversity and inclusion. Subtopic 'Data privacy' from S4 'Consumers and end users' has been mapped to Level 2, Data privacy (part of Level 1 compliance risk) which is defined as risk relating to non-compliance with privacy, professional secrecy or data ethics related requirements, laws and regulations.

Risk response and mitigation

Credit risk

Social risk factors are defined as part of the ESG Factor Taxonomy and applied in the credit risk management, in the same manner as for Environmental risks (refer to section 'Environmental-related risk management'). ESG-related credit risk drivers, including social factors, are screened for and any identified risks are assessed as part of the regular credit risk assessment, either on industry basis (inherent risks) or on customer level. Risks that are material to the borrower's credit risk are treated as any other risk driver and further integrated to the credit risk assessment. When impact from ESG-related risk is so severe that it causes misalignment with the rating, an ESG rating override should be applied. The regular monitoring of borrowers' credit risk captures ESG-related issues through the use of early warning indicators (EWI). When an EWI is triggered, it is required to consider if the event is related to ESG, and if so, an ESG assessment must be requested. For certain customers with supply chains outside the EU or exposed activities within the Nordics, there is an enhanced focus on social risks. Hence, for credit risk, social factor impacts are primarily mitigated through the socially-related business strategy and social risk control systems, permitting and certification for selected financial counterparties and via the customer selection process (i.e. Know Your Customer, KYC). In addition to these processes, where relevant, Nordea carries out a social impact assessment when financing large infrastructure and industrial projects, as part of Nordea's commitment to the Equator Principles. Furthermore, Nordea also considers that the social factors for employee relationships and rights misconduct are covered by counterparty credit risk and management risk via the current customer credit risk assessment and rating processes.

Operational risk

Social risk factors are defined as part of the ESG Factor Taxonomy and the factors relevant for operational risk are managed via the regular operational risk management framework, which is a set of operational processes for, among others, assessing and measuring operational risks. Refer to section 'Environmental factors related risk management' for an overview of the operational risk management tools in place.

Compliance risk

All ESG-related compliance risks are subject to the Compliance Risk Management Framework, which is a set of compliance processes for identifying, assessing and measuring, responding to and mitigating, controlling and monitoring, and reporting compliance risks. In addition, the product approval process must be applied when new products and services are introduced, or when making changes to existing ones with the aim to ensure adequate descriptions and assessments of the related risks, mitigating actions and possible risk acceptances. The product approval process includes a specific ESG-related materiality assessment (ESG pre-screening). Whenever ESG-related risks are assessed to be relevant, the product must undergo full approval process including quality and risk analysis.

Risk control and monitoring

For risks related to social factors, Nordea has in place specific internal industry credit policies that can include ESG-related exclusion criteria, including social risks related criteria. In addition, social risk factors are well-established within Nordea's Common Risk Taxonomy, divided among Level 2 risk types under several prudential risk types. This means the control and monitoring takes place via the regular risk management cycle of Nordea. Therefore, Nordea does not find it necessary to additionally capitalise for social risk.

GOVERNANCE FACTORS

Business strategy, targets and objectives

Strong sustainability governance provides the necessary insight and pace to execute Nordea's strategic sustainability agenda for the greater good (see Sustainability Statement chapter Governance information). For Nordea, a strong governance within the area of ESG implies a strong corporate culture with well-defined values and ethics, clear decision mandates and a strong (management) framework on human rights and financial crime. Similar to environmental and social factors, the strategic ambition is implemented through various internal and external policies (part of the Sustainability and ESG Policy Framework) concerning selected own operations and financial counterparties, which have been aligned with international standards, guidelines and benchmarks. SDGs identified as material for achieving sustainable impact on sustainable governance objectives include SDGs 16-17, Peace, justice and strong institutions and Partnerships for the goals.

Nordea is guided by UN guiding principles on business and human rights and sets out financing principles concerning governance factor impacts through the UN Global Compact, and, for project finance, the Equator Principles. Nordea sets requirements, as part of the strategy to limit ethical and risk management impacts, on financing of the gambling industry in a corresponding sector guideline. Position statements on tax also contain commitments on ethical conduct and transparency in reporting. Specific requirements on reporting transparency and sound risk management are also set for the oil & gas industry. Nordea's internal policies on sanctions, money laundering, terrorist financing and tax evasion are also aimed at reducing governance factor impacts associated to the relevant activities and portfolios. Nordea provides a more in-depth disclosure of tax policy in the Sustainability Statement chapter Responsible taxpayer.

Concerning selected internal operations, Nordea's Code of Conduct contains principles on considerations of acting ethically, and compliance with the regulatory framework. Specific policies are issued addressing e.g. conflicts of interest, bribery and corruption as well as concerning taxation and third- party procurement.

GOVERNANCE FACTORS-RELATED RISK MANAGEMENT

Risk identification

As part of the ESG Factor Taxonomy, Nordea has defined governance-related risk drivers and where possible, linked them with the relevant ESRS topics, as part of the CSRD. Currently, the governance part of the ESG Factor Taxonomy includes three governance risk drivers, linked to the ESRSs. To determine the (potential) impact, Nordea has assessed the materiality of governance risk drivers as potentially driving (additional) impact on one of its prudential risks.

As explained in section 'Social-related risk management' for both the ESRS social and governance topics, Nordea used a decision tree approach using the internal environmental ICLAAP process and hence, the internal 2024 MA results. There is no one-to-one mapping with Nordea's Common Risk Taxonomy for G1 'Business Conduct'. However, specific risks in Nordea's Common Risk Taxonomy relating to business conduct (including counterparties) are already captured under compliance risks (via the Level 2 financial crime risk) and under operational risk (via the Level 2 internal and external fraud risk). For the results of the mapping see figure 5.

Figure 5: Mapping and materiality assessment of the double materiality assessment scope for ESRS G1 towards Nordea internal ESG factor taxonomy for CSRD purposes.

ESRS topic	Nordea ESG Factor Taxonomy level 2	Nordea ESG Factor Taxonomy level 3	Impact assessment financial risk perspective ESRS topic
G1: business conduct	Business conduct	Corporate culture, values and ethics	Material
		Protection of whistle-blowers	
		Animal welfare	
		Political engagement	
		Management of relationships with suppliers including payment practices	
	Financial crime prevention	Fraud	
		Money laundering	
		Terrorist financing	
		Bribery and corruption	
		Tax Evasion	
	Information security	Cyber security	

Risk assessment and measurement per relevant risk type

Operational and compliance risks

Nordea considered G1 'Business Conduct' under its internal ESG Factor Taxonomy 'Financial Crime Prevention' and 'Fraud'. Next, these internal ESG factors could be directly mapped towards its Level 2 risks under compliance risk (financial crime risk) and operational risk (internal and external fraud risk) respectively. Financial crime risk is defined as risks relating to money laundering, terrorist financing, sanctions, bribery, corruption and tax evasion. Secondly, internal and external fraud risk is defined as risks relating to internal, external fraud, mismarking of positions and unauthorised transactions (but it excludes internal, external theft, damage of/to data). Both these risks are assessed as material for Nordea. As part of the 2024 DMA, a relevance assessment was conducted and concluded that these governance risk drivers could impact these risks further.

Risk response and mitigation

Credit risk

Governance risk factors are defined as part of the ESG Factor Taxonomy and applied in the credit risk management, in the same manner as for environmental risks (refer to section 'Environmental factors related risk management' ESG-related credit risk drivers including governance factors (e.g. management risk) are screened for and any identified risks are assessed, either on industry basis (inherent risks) or on customer level. Risks that are material to the borrower's credit risk are treated as any other risk driver and further integrated to the regular credit risk assessment, in particular as part of the management risk assessment which includes scoring the borrower's governance model, business planning, decision making, and trustworthiness. When impact from ESG-related risk is so severe that it causes misalignment with the rating, an ESG rating override can be applied. As explained in the section 'Environmental factors related risk management', the regular monitoring of borrowers' credit risk captures ESG-related issues through the use of EWI's. When an EWI is triggered, it is required to consider if the event is related to ESG, and if so, an ESG assessment must be requested. Further, the customer selection process (Know Your Customer (KYC)) and Equator Principles for project finance are examples of due diligence processes in place to mitigate potential risks. Governance-related credit risks (except sound risk management and supply risk management) may be partly covered by counterparty credit risk and management risk via the rating process.

Some of the governance factors, e.g. bribery, tax evasion and fraud as a predicate offence of financial crime, are mainly assessed within the KYC process. Others, e.g. animal welfare, are assessed within the ESG assessment process. Finally, governance factors including corporate culture, protection of whistle-blowers, inadequate sustainability policies and guidelines, insufficient management capacity in sustainability issues, non-compliant sustainability data reporting and non-compliance with environmental permits and regulations are assessed within the enhanced ESG assessments.

Operational and compliance risks

Governance risk factors are defined as part of the ESG Factor Taxonomy and the factors relevant for operational and compliance risk are managed via the regular risk management framework (e.g. responding to and mitigating the identified relevant risks).

Risk control and monitoring

For governance related risks Nordea uses its existing ESG RAF. Among others, the ESG RAF includes specific governance risk related metrics which are monitored on a periodic basis as part of the overall risk appetite reporting to the Board. More specifically, risk metrics and limits are defined for financial reporting risk, including risks related to misstatements or deficiencies in ESG-related financial information as provided in financial, regulatory reporting and related disclosures, covering also the risk of greenwashing. In addition, as explained in section 'Environmental factors related risk management' Nordea has in place specific internal ICPs, which can include ESG-related exclusion criteria, including governance-related criteria.

Overall, governance risk is well-established within the regular risk management cycle of Nordea. Therefore Nordea does not find it necessary to additionally capitalise for governance risk.